



Expanding Opportunities

Driving value in
a world of evolving
payments

MasterCard
Incorporated
Annual Report
2004

In the 1950s, the first credit cards ignited a payments revolution. Offering a profound new level of convenience, they would go on to transform the world of consumer and business payments, with increased efficiency, reliability, and security.

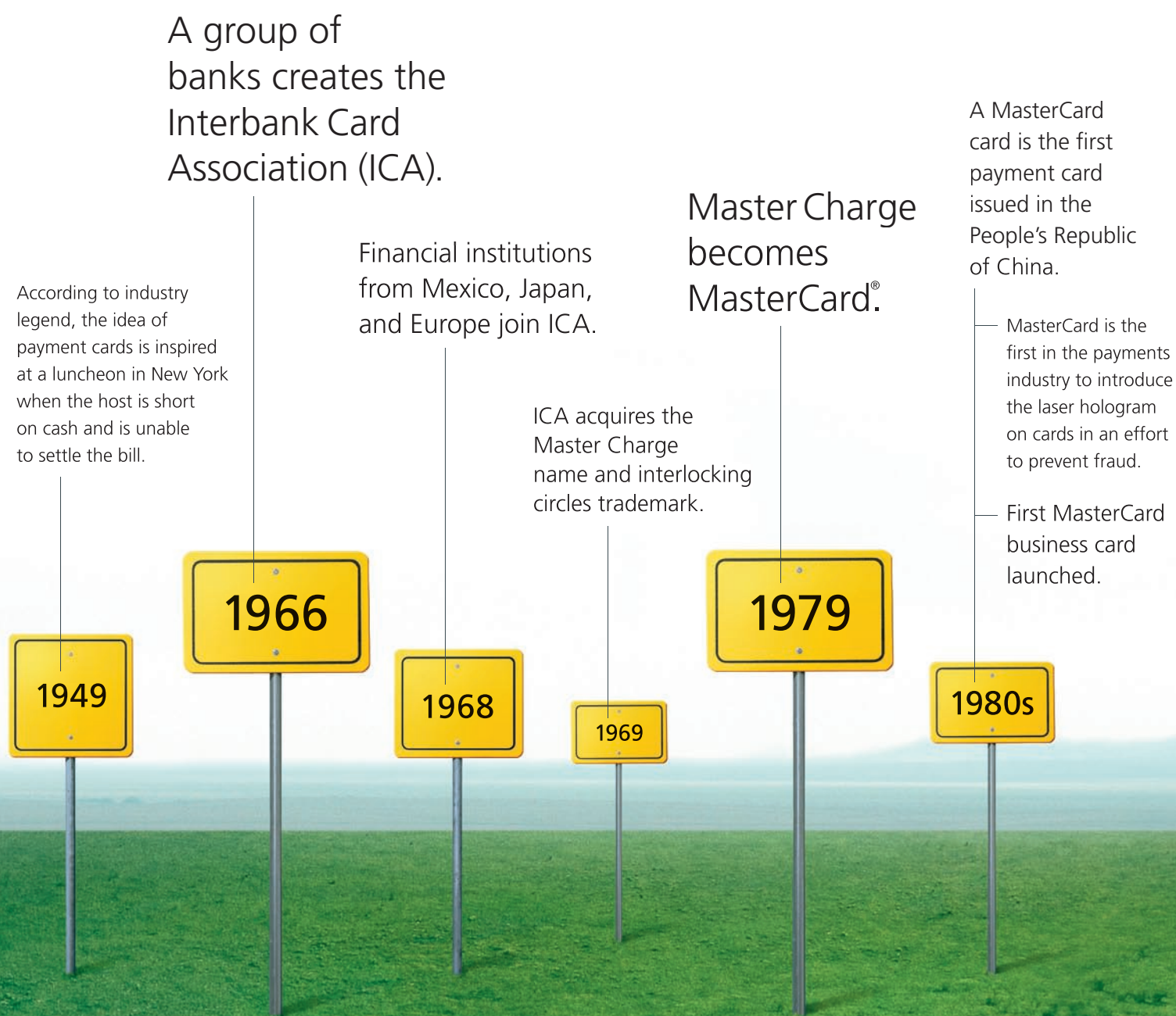


After more than five decades of rapid growth, the payments revolution marches on, with global trends and innovative technologies generating a host of opportunities. For financial institutions and merchants alike, the question is how to make the most of them. More than ever, the answer is clear: Partner with MasterCard.



Around the world, payments have undergone a radical transformation in the past half-century. Today, consumers and companies seek safe and reliable payment alternatives that suit their lifestyle and commercial needs. As a result, debit and credit payments continue to displace the use of cash and checks. What does this mean for MasterCard and its customers?

Expanding opportunities.



MasterCard, in partnership with Europay International, launches Maestro®, the world's first truly global online debit program.

MasterCard becomes a leader in co-branded cards.

MasterCard launches the *Priceless*™ campaign.

MasterCard introduces the industry's first virtual private network, offering bandwidth on demand to handle cardholder transactions at any time.

MasterCard Advisors™, a global professional services organization focused solely on the payments industry, is launched.

MasterCard opens its state-of-the-art global technology headquarters.

MasterCard integrates with Europay International and becomes a private share corporation.

With profitable opportunities growing fast, MasterCard is positioned to deliver value-added solutions to customers, cardholders, and merchants worldwide.

1990s

1997

2001

2002

2005

Selected Financial Data

All figures in U.S. dollars

Years Ended December 31 (in thousands except per-share data)	2004	2003	2002
Income Statement Data			
Revenue	\$ 2,593,330	\$ 2,230,851	\$ 1,891,811
Operating Income (loss)	346,672	(601,862)	141,997
Net Income (loss)	238,060	(385,793)	116,429
Net Income (loss) per Share (basic and diluted)	2.38	(3.86)	1.35
Balance Sheet Data			
Total Assets	\$ 3,264,670	\$ 2,900,905	\$ 2,260,875
Obligations under U.S. Merchant Litigation and Other Legal Settlements	597,594	672,466	—
Long-Term Debt	229,569	229,574	80,107
Stockholders'/Members' Equity	974,952	698,721	1,023,406



Robert W. Selander
President and Chief Executive Officer

I am pleased to report an exceptional year for MasterCard in 2004. Not only did we eclipse one of our most challenging years with one of our best, but we also worked together to continue to strengthen our unique value proposition. The opportunities unfolding in payments today are tremendous, and no company is better positioned than MasterCard to help customers seize them.

All told, people used MasterCard-branded cards for 16.7 billion transactions worldwide in 2004, an 11.4 percent increase over 2003. Purchase volume, the value of purchases made on our cards, grew to more than \$1 trillion, a 12.4 percent increase over 2003. Gross dollar volume (GDV), which includes cash advances and balance transfers, rose to \$1.5 trillion, with growth on a local currency basis of 10.6 percent over last year. Importantly, our revenues grew faster than planned, from \$2.2 billion in 2003, to \$2.6 billion in 2004, a 14 percent increase, adjusted for the impact of favorable currency fluctuations. This is a significant achievement, since growing our revenues was a major focus.

In regions outside of the United States, GDV grew by an impressive 11.7 percent to \$759.3 billion, demonstrating our continued strong expansion around the world. In the United States, which accounts for almost half of our global GDV, transactions rose 8.3 percent, generating \$695.9 billion in GDV.

More than anything, these results validate our customer-focused business strategy. It is clear that to carry on this approach is to serve our shareholders best — for as we find ever-expanding ways to seize opportunities in the payments industry, we will continue to drive profitable growth for our company and, most importantly, for our customers.

Opportunities Ahead

In the past half-century, the payments industry has revolutionized retail commerce, delivering unprecedented security, efficiency, and convenience for consumers; creating new revenue streams for our customers; and fostering the growth of many commercial sectors.

Today, electronic payments are increasingly replacing cash and checks as the world embraces ease and speed, and as acceptance rapidly grows. Consumers can now use MasterCard®-branded cards at more than 24 million locations worldwide — an acceptance network that is second to none.

That said, we have hardly reached the potential of the payments environment. Despite the burgeoning role cards play, the overwhelming majority of payments around the world are still made with cash and checks.

MasterCard is helping customers capture these transactions, from quick-pay solutions in high-volume, small-purchase environments, to systems that revolutionize the corporate procure-to-pay process. These and other initiatives coincide with a cultural shift toward electronic payment mechanisms that are more efficient, less costly, and more secure than paper.

Given the size of this opportunity — and the power of the MasterCard brand — we believe that a bright era lies ahead for our customers and ourselves. Of course, as in any evolving industry, there are pressures, including competition from new and established players, as well as legal challenges and attention from regulatory entities, which are drawn by the very success we enjoy. Our proven strategy and unique value proposition will help us to deal effectively with these challenges and take us much further in the years ahead.

Value Is the Key

In 2004, we reaffirmed our strategy of focusing on the needs of our customers and finding ways to make MasterCard more integral to their success every day. The key is to leverage our resources and wealth of intellectual capital — including product, marketing, consulting, technology, and processing expertise — to deliver increased value to our customers. This is what differentiates MasterCard, and differentiation is critical to seizing opportunity. By understanding where our customers want to go, and by working as business partners to get them there, our people deliver exceptional results.

This past year, MasterCard Advisors™, our global professional services group, provided customers with invaluable advice and assistance in growing their payments businesses. Founded in 2001, Advisors is now a key differentiator for MasterCard International and an important contributor to our value-added approach. No other consultancy or card company we know of can match Advisors' combination of hands-on payments expertise and consulting skill — delivered across the full range of payments activities. In 2004, Advisors introduced new products, including SpendingPulse™, a data service that paints a timely, accurate picture of retail spending in the United States, well ahead of government reports.

Value also continued to flow from one of our most powerful assets — our global brand — which boosted customer efforts to attract, retain, and satisfy cardholders worldwide. At a time when consumers rely less on cash, and prefer global names they know and trust, a brand that travels everywhere is a huge competitive advantage. The year gave us ample opportunity to leverage the strength of *Priceless*™, our flexible consumer advertising and marketing platform with messaging that resonates around the world. We also continued to strengthen and leverage important, high-profile sponsorships and alliances that fortify our brand, as well as the brands of our customers and merchants.

In addition, customers continued to benefit from our state-of-the-art technology platform. Value from this investment comes not only in the form of security and reliability, but also in our ability to customize processing to meet specific client needs — for example, worldwide daily settlement in select local currencies.

While we worked to bring more value to our customers, we sought to strengthen relationships with merchants, listening to their perspective, and keeping them abreast of emerging technologies and payment programs. In 2004, we expanded mastercardmerchant.com, a website built specifically for merchants. We also increased co-marketing opportunities by developing U.S. print ads based on our *Priceless* campaign and featuring prominent retailers. In addition, we joined with merchants on an individual basis, introducing acceptance programs that offer significant mutual benefits. An example is an agreement that will bring MasterCard *PayPass*™ to McDonald's®, simplifying and enhancing the consumer experience while improving efficiency and decreasing average transaction time at the point of purchase.

Shaping Our Future

In the ever-changing payments landscape, a strong, transparent organization offers a competitive advantage. Throughout the year, we continued to strengthen our organizational effectiveness in a number of ways.

In 2004, MasterCard demonstrated enterprise-wide commitment to achieving compliance with Section 404 of the Sarbanes-Oxley Act (SOX 404). This section requires management of companies registered with the U.S. Securities and Exchange Commission (SEC) to document and evaluate the design and effectiveness of their internal controls over financial reporting. Our testing of key controls across our global operations was completed one year ahead of required deadlines for non-accelerated filers with the SEC. MasterCard is pleased to have achieved compliance, with no material weaknesses identified during testing. Our SOX 404 compliance demonstrates the continued strength of our reporting and governance process and builds on the high standard of accountability that our shareholders expect and deserve.

This year, we also combined our security and risk functions from throughout the company into one centralized Risk Management Group. This group is responsible for reducing and preventing fraudulent use of MasterCard products, as well as expanding and enforcing compliance activities. Through a proactive, enterprise-wide approach to managing risk, we are better able to mitigate potential risks for both our company and our customers.

Before closing, I'd like to acknowledge two of our senior executives — Jerry McElhatton and Peter Hoch — both of whom have retired from the company. Jerry was president of Global Technology and Operations. His achievements included the conception and development of our state-of-the-art operations center outside St. Louis, Missouri, as well as oversight of our massive five-year technology upgrade. Peter was president of our Europe Region. He managed Europay's complex integration with MasterCard and consistently led the region to impressive growth. I thank Jerry and Peter for their outstanding dedication. Their significant contributions clearly helped foster our organization's growth and success.

As we look ahead, we do so from a position of strength. An excellent 2004 finds us firmly on the right track, advancing strategies that have served us well and delivering results for our customers. Opportunities in the payments space are indeed expanding. Thanks to our global brand, unsurpassed technology, and strong team, MasterCard is in an excellent position to help customers capitalize on these opportunities, and to drive value in a world of evolving payments.



Robert W. Selander

President and Chief Executive Officer
March 2005



The Opportunity

Consumers are increasingly using cards for everyday needs.

Capturing new transactions one quick lunch at a time

The Value

While the payments industry has experienced tremendous growth and innovation, the fact remains that the vast majority of payments around the world are still made with cash and checks. The magnitude of this opportunity is enormous, representing trillions of dollars in potential electronic transactions. We're helping our customers capture these previously untapped transactions — including small-ticket purchases.

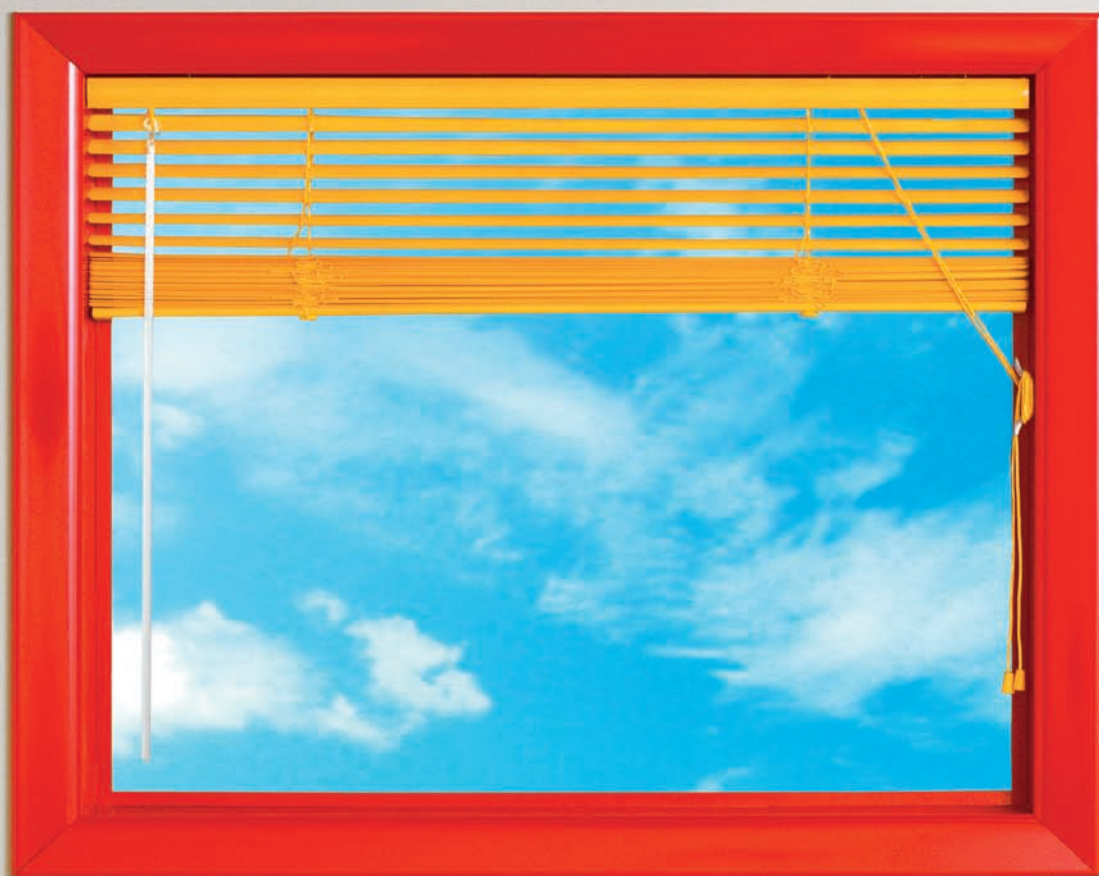
MasterCard *PayPass*™ contactless technology, for example, offers a new way to speed payments at gas stations, fast-food restaurants, and other quick-pay environments. Consumers benefit from the ease and convenience; merchants benefit from increased efficiency and security. In 2004, McDonald's® announced that it will accept MasterCard *PayPass* at thousands of locations across the United States. The technology is expanding to customers and merchants outside the United States as well, with pilots in the Asia/Pacific Region and Canada.

Interest in chip-based cards is also growing, with major conversions to *OneSMART* MasterCard™ taking place in Europe, South America, and Asia. Chip cards offer value-added applications and robust fraud protection, enhancing the cardholder experience and broadening opportunities for issuers and merchants.

Consumers continue to enjoy the convenience of making purchases online. MasterCard *SecureCode*™ and MasterCard Site Data Protection are safeguarding transactions and guaranteeing payments for financial institutions and online merchants worldwide.

MasterCard combines a wide range of convenient payment solutions with innovative technology, a universally recognized brand, and global acceptance. In this way, we continually help to increase preference for, and use of, electronic payment methods over cash and checks.





The Opportunity

With checks still dominating business payments, there's plenty of room to grow.

Large or small, every business represents a window of opportunity

The Value

Few areas offer more opportunities than commercial payments, where most transactions are still made by check. Here, MasterCard is proving itself a better alternative, providing value-added solutions that help businesses, large and small, streamline financial management.

Our new MasterCard Multinational Corporate Program helps companies with offices in multiple countries consolidate their transaction data and integrate it with their existing enterprise resource-planning systems. This program increases speed and efficiency, and simplifies purchasing, tracking, management, and reporting using MasterCard's advanced processing platform and online tools.

Another solution, MasterCard e-P3™, delivers electronic purchasing, presentment, and payment. This platform automates and integrates a company's accounts payable process, providing greater efficiency and control. Meanwhile, MasterCard ExpenSys™ combines with the MasterCard Corporate Card™ to streamline and simplify travel expense management and transform the expense reporting process — a boon to international companies whose employees travel.

MasterCard also provides MasterCard Workplace Solutions™, a suite of prepaid programs that our customers can offer organizations to distribute payments and track expenses related to wages, incentives, meetings, and travel. A flexible solution for optimizing efficiencies with electronic payments, MasterCard Workplace Solutions has been adopted onboard U.S. and Chilean navy ships, where payroll distributions and purchases are simplified with prepaid cards.

To better organize, analyze, and manage payment data, organizations can use MasterCard Smart Data. Our premier suite of reporting and management tools, MasterCard Smart Data is available in 13 languages and used by some 47,000 companies around the world.

Whether for large corporations, government agencies, or small and midsize businesses, MasterCard payments solutions help reduce costs, track expenditures, and gain efficiencies. For our customer financial institutions, they provide a compelling opportunity to offer more value — and capture more business.





The Opportunity

Driving demand across borders by focusing on what matters most to consumers everywhere.

A powerful
brand offers a
passport to
global growth

The Value

When it comes to driving usage, an essential element is a brand people trust — and MasterCard is one of the most trusted and recognized in the world. In 2004, we celebrated the 25th anniversary of the MasterCard brand, which evolved from the former Master Charge and Interbank brands. Today, MasterCard is synonymous with instant buying power, transaction security, and acceptance at more than 24 million locations worldwide.

We recognize that throughout the world, the things people have in common are far greater than the things that separate them. Our *Priceless*™ advertising campaign — based on comprehensive consumer research — has struck a universal chord. Having appeared in 96 countries and in 48 languages, *Priceless* resonates around the world by combining global human values with messaging tailored to local cultures. In this way, our brand positioning — “The better way to pay for everything that matters” — easily crosses borders and transcends boundaries, helping to drive usage.

Major sponsorships and alliances also leverage the power of the MasterCard brand. Key relationships include partners such as Universal Studios, Major League Baseball, 25 individual National Football League teams in the United States, and the 2006 FIFA World Cup®. Regional sponsorships in 2004 included the PGA Championship in Europe, the UEFA® Champions League in Europe, and CONMEBOL Copa America in Latin America. Sponsorships such as these create business-building opportunities for our customer financial institutions and offer “priceless” experiences for millions of MasterCard cardholders.

Through fully integrated and flexible marketing programs, we continue to build our brand for the benefit of customers, merchants, and consumers by driving card preference, usage, and acceptance around the world.







The Opportunity

Deliver increased value by looking at technology in a new way.

Composing powerful technology solutions for our customers

The Value

At MasterCard, our attitude toward technology goes far beyond providing the basics of authorization, clearing, and settlement. The value we bring to our customers lies as much in the talent and expertise of our people as in the power and flexibility of our systems. Whether working with customers to provide increased data capabilities, processing innovations for new products and programs, leading-edge technology integration, or redundancy and security solutions, MasterCard delivers.

In 2004, we completed our Systems Enhancement Strategy, resulting in one of the fastest, most reliable, secure, and flexible processing platforms in the world. This upgrade gives MasterCard the ability to customize processing to meet specific needs and to support new forms of payment. We know that one size does not fit all, and we created our new Global Clearing Management System — the heart of our network — with solution-centric capabilities unsurpassed by any other payment system in the world.

Feeding the system is BankNet™, our virtual private network connecting over 23,000 customer financial institutions and millions of merchant terminals worldwide. In 2004, our network processed transactions with nearly 100 percent availability. We also experienced a full year of virtually flawless processing of Switch® transactions in the United Kingdom. These transactions migrated to the MasterCard processing platform in conjunction with the brand's migration to Maestro. Meanwhile, the MasterCard Debit Switch captured a coveted International Tandem Users Group NonStop Availability Award for virtually flawless network performance.

Another 2004 accomplishment included the launch of a new version of the MasterCard Rewards technology platform. This platform offers customers state-of-the-art, Web-based interface features and increased customization options.

Our ability to tailor technology and processing solutions to meet specific needs — and our capacity to support new forms of payment — will drive tomorrow's greatest opportunities.

The Opportunity

Where cookie-cutter solutions abound, success means breaking out of the mold.

Working together to create outstanding partnerships



The Value

MasterCard employees — our most valuable asset — create solutions and maximize opportunities for our customers.

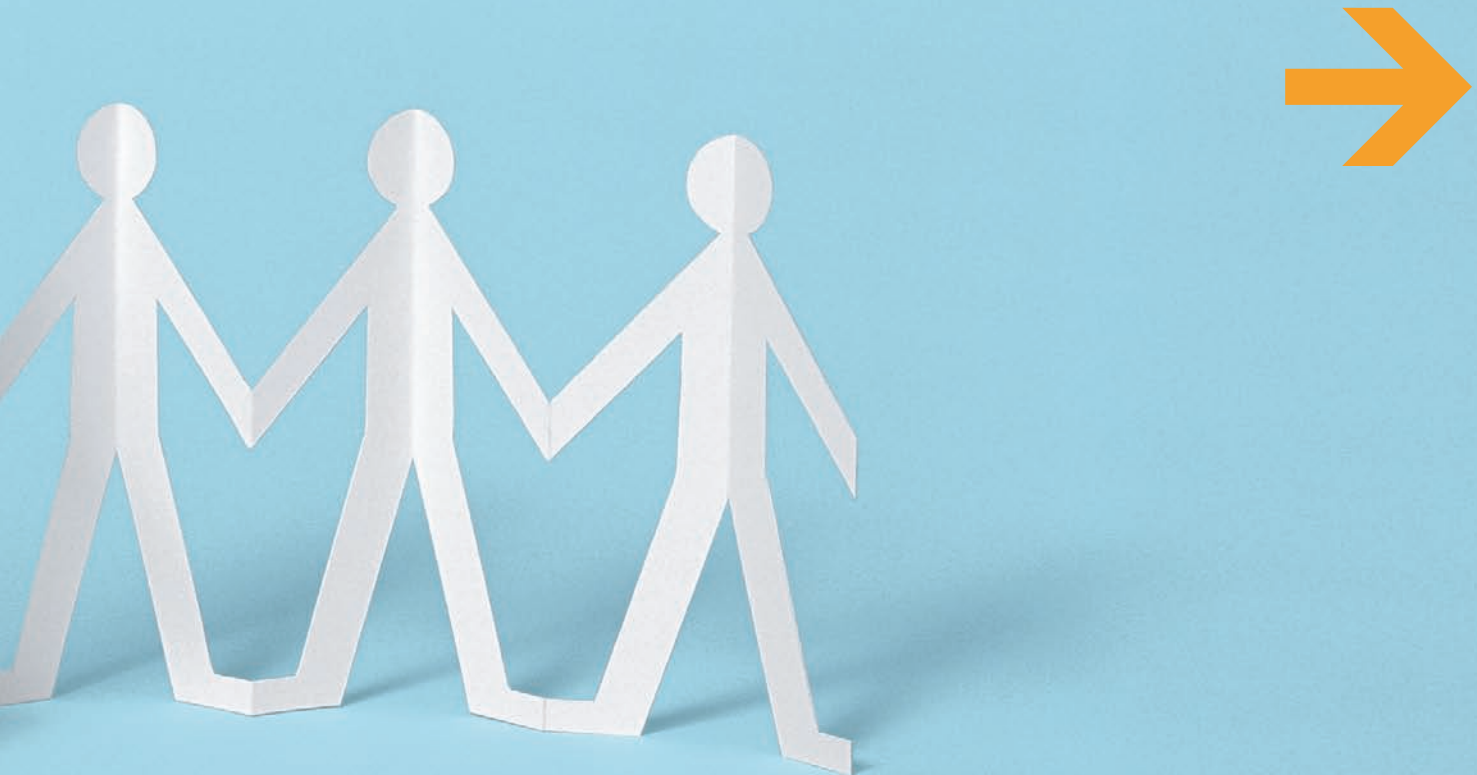
In 2004, MasterCard Advisors™, our global professional services organization, demonstrated innovation and thought leadership by helping customers optimize card programs and apply the power of payments expertise. Whether helping a global financial institution frame a comprehensive payments strategy, boosting usage of credit and debit cards, or launching comprehensive rewards programs, the organization provided exceptional value to clients around the world through its consulting, outsourcing, and information products and services. MasterCard Advisors continues to enhance its range of service offerings in anticipation of client needs and market developments.

Our intellectual capital is delivering results on other fronts as well. We continuously work to proactively address fraud and security issues. We also remain a leading force in consumer education by cosponsoring a U.S. coalition aimed at promoting proper credit card use, and by hosting Credit Talk, a consumer website offering valuable advice on subjects ranging from credit reports to debt management.

Because we are a truly global company, employee diversity provides important advantages at MasterCard. By bringing the wisdom and knowledge of multiple cultural perspectives to our business, we are able to better understand and serve our customers.

In 2004, MasterCard was deemed one of the Best Places to Work in Information Technology by *Computerworld* magazine; voted one of the top 20 most respected employers in Latin America by *Latin Trade* magazine; and once again named one of the 100 Best Companies for Working Mothers by *Working Mother* magazine. This recognition underscores our ongoing commitment to fostering an inclusive, empowering culture that enables all of our employees to contribute their unique talents and skills to provide optimum customer solutions.

Whether offering a new perspective or delivering innovative products and services, the employees of MasterCard are dedicated to driving new efficiencies and profitable growth for customers around the world.



Corporate Officers

MasterCard Global Board of Directors*

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Falcones Jaquotot**

Chairman
MasterCard International;
Chairman
Europay España, S.A.

William F. Aldinger

Chairman and Chief Executive Officer
HSBC North America Holdings Inc.

Silvio Barzi

Deputy General Manager
UniCredito Italiano;
Chief Executive Officer
Clarima Banca

Donald L. Boudreau

Director
MasterCard International

Augusto M. Escalante

Deputy President
Consumer Products
and Marketing Areas
Banco Nacional de México, S.A.

Richard D. Fairbank

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and President
Capital One Financial Corporation

Bernd M. Fieseler

Managing Director
Deutscher Sparkassen-und
Giroverband

Iwao Iijima

Chairman
Orient Corporation

Michel Lucas

Général Manager
Banque Fédérative du Crédit Mutuel

Norman McLuskie

Chairman, Retail Direct
The Royal Bank of Scotland Group

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Personal and Commercial Client Group
Bank of Montreal

Michael T. Pratt

Group Executive, Business
and Consumer Banking
Westpac Banking Corporation

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President and Chief Executive Officer
MasterCard International

Dato' Tan Teong Hean

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Southern Bank Berhad

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MasterCard International

Lance L. Weaver

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MBNA America Bank, N.A.

Robert B. Willumstad

President and Chief Operating Officer
Citigroup

MasterCard International Executive Management

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President and Chief Executive Officer

W. Roy Dunbar

President, Global Technology
& Operations

Lawrence Flanagan

Chief Marketing Officer

Gary Flood

President, Global
Account Management

Noah Hanft

General Counsel
and Corporate Secretary

Alan J. Heuer

Chief Operating Officer

Alexander Labak

President, MasterCard Europe

Ruth Ann Marshall

President, The Americas

Chris McWilton

Chief Financial Officer

Michael Michl

Chief Administrative Officer

Wendy Murdock

Chief Product Officer

André Sekulic

President, Asia/Pacific,
Middle East & Africa

Keith Stock

President, MasterCard Advisors

Christopher D. Thom

Chief Risk Officer

At A Glance

MasterCard International Corporate and Regional Offices

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Global Technology & Operations Headquarters

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Telephone: 1.636.722.6100

Asia/Pacific Regional Headquarters

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Singapore 189721
Telephone: 65.332.888

Europe Regional Headquarters

Chaussée de Tervuren 198a
1410, Waterloo, Belgium
Telephone: 32.2.352.5111

Latin America & Caribbean Regional Headquarters

801 Brickell Avenue
Suite 1300
Miami, FL 33131 U.S.A.
Telephone: 1.305.539.2300

North America Regional Headquarters

2000 Purchase Street
Purchase, NY 10577 U.S.A.
Telephone: 1.914.249.2000

South Asia, Middle East & Africa Regional Headquarters

Dubai Internet City
Building #4, Second Floor
P.O. Box 500003
Sheikh Zayed Road
Dubai, United Arab Emirates
Telephone: 9714.391.4200

Online Resources

www.mastercard.com

MasterCard.com is the consumer website as well as the portal for all the MasterCard websites. This site serves as a key contact point for consumers worldwide, offering payment services and programs to prospective cardholders, as well as usage incentives, educational information, and other services to existing cardholders.

www.mastercardinternational.com

Our global website for corporate information includes news announcements, corporate performance statistics, corporate citizenship programs, media tools, and job opportunities.

www.mastercardadvisors.com

Our global website for information about MasterCard Advisors™ includes product and service offerings, consulting capabilities, and examples of how MasterCard Advisors has helped clients improve and expand their payments business.

www.mastercardbusiness.com

Our Web-based resource for business and government includes information about the benefits and features of MasterCard Corporate Payment Solutions cards and programs. The website also offers tools to businesses for managing expenses and streamlining processes, as well as online tutorials and discounts on goods and services.

www.mastercardmerchant.com

Our website for merchants and acquirers provides information on accepting MasterCard cards and optimizing card acceptance through our industry-specific programs, new technologies, co-branding opportunities, fraud prevention, and global programs.

www.mastercardonline.com

Our secure extranet provides access to programs, services, training, and documentation to users at our customer financial institutions in more than 150 countries.

www.creditalk.com

The Credit Talk website is our interactive financial education resource for consumers. Topics include budget management, the importance of establishing good credit, weathering a financial crisis, consumer rights, and best practices.

By the end of 2004, MasterCard customer financial institutions had issued 233 million MasterCard®, Maestro®, and Cirrus® smart cards around the world.

MasterCard cards are accepted at more than 24 million locations worldwide, including merchant locations, ATMs, and other locations where cash may be obtained.

With one MasterCard card, you can purchase items in over 160 different currencies.

Initiated in 1993, the MasterCard MasterIndex™ of Consumer Confidence is the most comprehensive and longest-running consumer sentiment survey in the Asia/Pacific Region. In 2004, MasterIndex was launched in MasterCard's South Asia, Middle East & Africa Region.

In 2004, MasterCard was voted one of the top 20 most respected employers in

Latin America by *Latin Trade* magazine.

In 2004, the MasterCard commercial payments business exceeded \$100 billion in gross dollar volume.

120
milliseconds

The average time it takes for the MasterCard network to process a transaction. It can take days to process a personal check.

In 2004, the MasterCard RPPS online bill payment business in the United States grew 27%, while the consumer-to-business portion grew 42%.

MasterCard has over 23,000 customer financial institutions.

Today, there are **679.5 million** MasterCard-branded cards worldwide.

Cardholders received assistance **953,779 times** in 2004 when they called MasterCard Global Service, toll-free or collect, from 222 countries in 68 languages.

Around the world in 2004, there were approximately
16,700,000,000
transactions made with MasterCard-branded cards.

The MasterCard award-winning *Priceless™* advertising campaign has appeared in 96 countries and in 48 languages, giving the MasterCard brand a truly global reach and scope.

MasterCard serves financial institutions, consumers, and businesses in more than 210 countries and territories.

www.mastercard.com

*MasterCard
International*

